

Esso Petroleum Company, Limited
ANNUAL REPORT
for the year ended 31 December 2006

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Esso Petroleum Company, Limited
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for the year ended 31 December 2006

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Esso Petroleum Company, Limited
COMPANY INFORMATION
for the year ended 31 December 2006

DIRECTORS

K M Hobbs - Appointed 1 May 2007
T G Katinas - Resigned 1 May 2007
R C Olsen
J Selzer
A M F Todd

SECRETARY

J N Boydell

REGISTERED OFFICE

ExxonMobil House
Ermyn Way
Leatherhead
Surrey KT22 8UX

AUDITORS

PricewaterhouseCoopers LLP
1 Embankment Place
London WC2N 6RH

Esso Petroleum Company, Limited

REPORT OF THE DIRECTORS

for the year ended 31 December 2006

The directors present their annual report and the audited financial statements for the year ended 31 December 2006

DIRECTORS

The directors who held office during the year and to the date of this report are listed on page 2

PRINCIPAL ACTIVITIES AND REVIEW OF THE BUSINESS

The principal activities of the Company are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2006 are listed in note 11 to the financial statements.

During 2006, the refining business continued to make a strong contribution to the financial performance of the company although margins and profits were lower than in 2005. In addition, planned maintenance activity at the refinery was higher than the prior year with completion of turnarounds on several major units.

In the marketing business, there was an improvement in profitability from 2005. Margins improved over 2005 and volumes improved in the industrial and aviation businesses. The company continued to review its portfolio of retail sites and to divest where appropriate.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of operational integrity.

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

KEY PERFORMANCE INDICATORS

The Business of Esso Petroleum Company, Limited is managed on a divisional basis and performance is measured in areas such as safety, environmental, operational and financial. Performance indicators are regularly shared with divisional management including representatives of the ultimate parent company Exxon Mobil Corporation.

FINANCIAL RISK MANAGEMENT

The Company's operations expose it to a variety of financial risks that include the effects of price risk, credit risk, liquidity risk, interest rate risk and foreign exchange risk. The Company has in place mechanisms that seek to limit the possible adverse impact on the financial performance of the Company.

Price risk - The Company is exposed to fluctuations in the oil, petrochemical and gas prices as a result of its operations. The Company does not use derivative financial instruments to manage the risk of fluctuating prices and as such no hedge accounting is applied. The Company will revisit the appropriateness of this policy should the Company's operations change in nature.

Credit risk - The Company has implemented policies and procedures which require appropriate credit checks on potential customers before sales are made. The Company also has systems and processes to ensure the ongoing monitoring of customer credit worthiness and has in place procedures to enable it to respond where a change in customer credit risk is detected.

Liquidity risk - The Company actively manages its finances to ensure that it has sufficient available funds for its operations. It is the directors' understanding that ExxonMobil group companies will continue to provide suitable resources to the Company to meet its needs. The Company has a process in place to monitor the best financing structure for the Company and periodically reviews its strategies. Following such review, loans may be repaid prior to their maturity date and / or extended and / or replaced by alternative funding arrangements.

Interest rate cash flow risk - The Company can have both interest bearing assets and liabilities, these are generally held at floating rates. The Company monitors its portfolio of interest bearing assets and liabilities and their financial impact. The Company will reconsider the appropriate structure of its portfolio should the Company's operations change in size or nature.

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2006

Foreign exchange risk - The Company may have assets and liabilities denominated in foreign currencies, predominantly US Dollar and the Euro. The Company does not use derivative financial instruments to manage the risk of fluctuating exchange rates and as such no hedge accounting is applied. The Company has in place a foreign exchange policy and will reconsider the appropriateness of this policy should the Company's operations change in nature.

RESULTS AND DIVIDENDS

The Company's profit for the year was £196.3m (2005 £287.3m)

No dividends were paid during the year (2005 £nil)

DONATIONS

During 2006 the Company made total donations and other support to the community of £938,621 (2005 £830,261). Of this, charitable donations amounted to £158,743 (2005 £203,402). There were no political donations (2005 £nil).

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support service, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided by other members of the ExxonMobil Group.

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate holding Company, Exxon Mobil Corporation. Each year, Exxon Mobil Corporation publishes a detailed and comprehensive Corporate Citizen Report that gives a full account of its positions, actions and performance.

In July 2006, another Group Company, Esso UK Limited, published a UK and Ireland Corporate Citizenship brochure that provided examples of corporate social responsibility in key areas such as health and safety, the environment and community.

Copies of these publications can be obtained by writing to ExxonMobil Information Services, PO Box 30, Alton, Hampshire GU34 4PY, sending an email to esso@mmcltd.com or phoning 01420 - 525534. Alternatively, they can be viewed on www.exxonmobil.co.uk on the publications page of the news room.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Company's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

EMPLOYMENT POLICY

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion, exist for disabled persons and employees who have become disabled while employed by the Company, having regard to their particular circumstances.

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2006

EMPLOYEE INVOLVEMENT

The Company has established over many years a comprehensive programme of employee communication and consultation. The directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing those financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business, in which case there should be supporting assumptions or qualifications as necessary.

The directors confirm that they have complied with the above requirements in preparing the financial statements.

The directors are responsible for keeping proper books of account that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

AUDITORS AND DISCLOSURE OF INFORMATION TO AUDITORS

Each of the persons who are directors of the Company at the time when the report is approved, confirm as follows:

- a) so far as the director is aware, there is no relevant audit information (that is, information needed by the Company's auditors in connection with preparing their report) of which the Company's auditors are unaware, and
- b) the director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

AUDITORS

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office. The Company has exercised its entitlement under s386 of the Companies Act 1985 to dispense with appointing auditors annually and under s366A to dispense with holding Annual General Meetings.

By Order of the Board,


J N Boydell
Secretary

27 July 2007

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF Esso Petroleum Company, Limited

We have audited the financial statements of Esso Petroleum Company, Limited for the year ended 31 December 2006 which comprise the profit and loss account, the balance sheet, the statement of total recognised gains and losses, the note of historical cost profits and losses and the related notes. These financial statements have been prepared under the accounting policies set out therein.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland). This report, including the opinion, has been prepared for and only for the Company's members as a body in accordance with Section 235 of the Companies Act 1985 and for no other purpose. We do not, in giving this opinion, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or in to whose hands it may come save where expressly agreed by our prior consent in writing.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the directors' report is not consistent with the financial statements.

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the directors' report and consider the implications for our report if we become aware of any apparent misstatements within it.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 31 December 2006 and of its profit for the year then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements.



PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
London
27 July 2007

Esso Petroleum Company, Limited
PROFIT AND LOSS ACCOUNT
for the year ended 31 December 2006

	Note	2006 £m	2005 £m
Continuing operations:			
Turnover	2	6,940.2	6,116.7
Cost of sales		<u>(6,431.7)</u>	<u>(5,443.6)</u>
GROSS PROFIT		508.5	673.1
Distribution costs		(236.9)	(239.5)
Administrative expenses		<u>(15.7)</u>	<u>(14.7)</u>
OPERATING PROFIT	3	255.9	418.9
Income from shares in group undertakings		2.3	2.7
Income from fixed asset investments		1.2	0.9
Profit on sale of fixed assets		<u>6.6</u>	<u>7.7</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE INTEREST AND TAXATION		266.0	430.2
Interest receivable and similar income	6	27.2	11.4
Interest payable and similar charges	7	(27.8)	(28.5)
Other finance income and charges	20	<u>18.8</u>	<u>(10.5)</u>
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		284.2	402.6
Taxation on profit on ordinary activities	8	<u>(87.9)</u>	<u>(115.3)</u>
PROFIT FOR THE FINANCIAL YEAR	18	<u>196.3</u>	<u>287.3</u>

Esso Petroleum Company, Limited
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES
for the year ended 31 December 2006

	Note	2006 £m	2005 £m
PROFIT FOR THE FINANCIAL YEAR		196.3	287.3
Actuarial loss on pension plan	20	(36 0)	(65 1)
Movement on deferred taxation related to pension deficit	16, 18	10 8	19 5
Unrealised surplus/(deficit) on revaluation of retail sites	10, 18	<u>0 0</u>	<u>(0 8)</u>
TOTAL RECOGNISED GAINS AND LOSSES RELATING TO THE YEAR		<u>171.1</u>	<u>240.9</u>
Prior year adjustment - FRS 17			<u>(615 2)</u>
TOTAL GAINS AND LOSSES RECOGNISED SINCE LAST ANNUAL REPORT			<u>(374.3)</u>

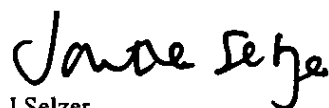
Esso Petroleum Company, Limited
NOTE OF HISTORICAL COST PROFITS AND LOSSES
for the year ended 31 December 2006

	Note	2006 £m	2005 £m
REPORTED PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		284.2	402.6
Realisation of property revaluation gains of previous years	10, 18	<u>26.1</u>	<u>19.6</u>
HISTORICAL COST PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		<u>310.3</u>	<u>422.2</u>
HISTORICAL COST PROFIT FOR THE YEAR RETAINED AFTER TAXATION		<u>222.4</u>	<u>306.9</u>

Esso Petroleum Company, Limited
BALANCE SHEET
as at 31 December 2006

	Note	2006 £m	2005 £m
FIXED ASSETS			
Intangible assets	9	4 2	4 8
Tangible assets	10	1,364 0	1,395 0
Investments	11	9 7	9 7
TOTAL FIXED ASSETS		1,377.9	1,409.5
CURRENT ASSETS			
Stocks	12	425 2	425 4
Debtors Amounts falling due within one year	13	889 4	938 2
Debtors Amounts falling due after more than one year	13	26 1	47 0
Cash at bank and in hand		7 5	2 6
TOTAL CURRENT ASSETS		1,348.2	1,413.2
Creditors Amounts falling due within one year	14	(969 3)	(1,585 5)
NET CURRENT ASSETS/(LIABILITIES)		378.9	(172.3)
TOTAL ASSETS LESS CURRENT LIABILITIES		1,756.8	1,237.2
Creditors Amounts falling due after more than one year	14	(321 5)	(319 7)
Provisions for liabilities and charges	16	(93 2)	(110 8)
NET ASSETS EXCLUDING PENSION LIABILITY		1,342.1	806.7
Pension liability	20	(444 6)	(425 3)
NET ASSETS INCLUDING PENSION LIABILITY		897.5	381.4
CAPITAL AND RESERVES			
Called up share capital	17	573 4	228 4
Revaluation reserve	18	355 2	381 3
Capital reserve	18	3 3	3 3
Profit and loss reserve	18	(34 4)	(231 6)
TOTAL SHAREHOLDER'S FUNDS	19	897.5	381.4

The financial statements on pages 7 to 25 were approved by the board of directors on 27 July 2007 and were signed on its behalf by



J Selzer
Director

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2006

1 ACCOUNTING POLICIES

These financial statements are prepared on the going concern basis under the historical cost convention, as modified by the revaluation of certain tangible fixed assets, in accordance with the Companies Act 1985 and applicable Accounting Standards

The principal accounting policies have been applied consistently and are set out below

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Esso UK Limited which is incorporated in England and Wales. The Company has taken advantage of the exemption from preparing group accounts under FRS 2, 'Accounting for subsidiary undertakings'

CASH FLOW STATEMENT

The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of Financial Reporting Standard 1 (revised 1996), 'Cash flow statements'

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories

TURNOVER

Revenue associated with the processing and sale of crude oil, natural gas, petroleum products and related goods and services are recognised when the title passes to the customer, which typically occurs at the point of delivery or point of receipt depending on contractual terms. Revenue from sales made by refining operations are typically recognised when the product is placed onboard a vessel, on discharge or into a pipeline depending on agreed contractual terms. Turnover is shown net of excise duty and VAT

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred

OPERATING LEASES

Operating lease payments are charged to the profit and loss account in the period to which they relate

INTANGIBLE ASSETS

(i) CO2 Emission Rights

The cost of intangible assets represent allocated and purchased CO2 emissions rights. The assets are not amortised during the year as they are surrendered the following year after completion of independent audit of the actual emissions

(ii) Goodwill

Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account. The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which is typically between 10 and 20 years, being the directors' best estimate of the period over which the goodwill will be realised. Negative goodwill is recognised in the profit and loss account over the period in which the non-monetary assets are recovered

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2006

1 ACCOUNTING POLICIES (continued)

TANGIBLE ASSETS

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings

All assets are depreciated or amortised to their residual values by equal annual instalments as follows

Buildings	3 3% to 4% per annum
Plant and Equipment	3 3% to 20% per annum
Leasehold land	0 5% to 6 66% per annum
Assets under construction	Not depreciated until brought into use
Freehold land	Not depreciated

REVALUATION OF FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors, with a review of the valuation made on an interim basis in accordance with FRS 15, 'Tangible fixed assets' An annual review is undertaken where there is evidence of a significant change in the revaluation The last full review was undertaken in 2004

INVESTMENTS

Investments are stated at cost less any diminution in value as a result of impairment reviews

STOCKS

Stocks are stated at the lower of cost and net realisable value Cost is calculated using the first-in, first-out method, including an appropriate proportion of overheads

CASH

As part of ExxonMobil's Treasury operations, the Company participates in an interest bearing bank account pooling arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis The net amount as at the balance sheet date is fully liquid with the Company retaining full ability to access the cash at any time Interest is charged/credited on balances, including any overdraft positions, on commercially competitive terms

IMPAIRMENTS AND PROVISIONS

Tangible and intangible assets are regularly reviewed for evidence of possible impairment Major assets are reviewed on a yearly basis while other assets are reviewed where events or changes in circumstance indicate that an impairment review is necessary Where a review indicates that the asset, or income generating unit where applicable, requires impairment then the carrying value will be written down immediately to its fair value

DEFERRED TAXATION

Provision for deferred tax is made in accordance with Financial Reporting Standard 19, 'Deferred Tax' Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements and their recognition for tax purposes

Deferred tax liabilities and assets are discounted

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2006

1 ACCOUNTING POLICIES (continued)

PENSION COSTS

The Company operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. In accordance with Financial Reporting Standard 17, 'Retirement benefits' the expected cost of providing pensions and related benefits are charged to the profit and loss account. Any difference between the expected cost and the actual costs in the year are reported in the statement of total recognised gains and losses. The difference between the actuarial liability and the market value of the assets at the end of the period, after accounting for taxation, is included as an asset or liability in the balance sheet. The pension cost is assessed in accordance with the advice of independent qualified actuaries and full actuarial valuations are carried out every 3 years.

2 SEGMENTAL ANALYSIS

The Company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services. Turnover is recognised on transfer of legal title. Turnover is stated net of excise duty of £4,202.8m (2005 £3,958.9m).

	2006 £m	2005 £m
TURNOVER BY DESTINATION		
United Kingdom	5,309.4	4,419.5
Rest of Europe	819.0	979.8
Rest of the World	811.8	717.4
TOTAL	6,940.2	6,116.7

The comparative figures for "Rest of Europe" and "United Kingdom" have been amended from £2,231.9 and £3,167.4 respectively, to ensure consistency of classification with the current year.

3 OPERATING PROFIT

	2006 £m	2005 £m
This is stated after charging the following amounts		
Wages and salaries	100.7	100.1
Social security costs	8.5	7.9
Other pension costs	49.2	41.7
Other staff costs	6.7	5.9
TOTAL STAFF COSTS	165.1	155.6

	£m	£m
Fees payable to the company's auditors for the audit of the company's annual accounts	0.2	0.2
Fees payable to the company's auditor and its associates for other services		
- other services relating to taxation	0.1	0.1
Operating leases	19.1	18.5
Depreciation - owned assets	80.0	78.7
Amortisation of goodwill	0.6	0.6
Research and development	3.4	2.8

Other staff costs comprise the cost of employees working on behalf of the Company who were seconded from other ExxonMobil affiliates. Not included above is £37.4m (2005 £38.4m) of staff costs for employees of Esso Petroleum Company, Limited who are seconded to other ExxonMobil affiliates. The costs related to these employees are fully recoverable by the Company.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2006

4 EMPLOYEES

	2006	2005
The average number of persons employed during the year was		
Marketing, Refining and Transportation	1,823	1,976
Exploration and Production	685	709
TOTAL	2,508	2,685

	2006	2005
The above numbers include employees seconded to other Group Companies as follows		
Assigned to other ExxonMobil downstream group undertakings	369	442
Assigned to other ExxonMobil upstream group undertakings	685	709
TOTAL	1,054	1,151

5 DIRECTORS' EMOLUMENTS

	2006 £k	2005 £k
DIRECTORS' EMOLUMENTS - AGGREGATE		
Pre-tax emoluments, excluding pension contributions	660	695
Company pension contributions to money purchase schemes	7	9
Amounts (excluding shares) receivable under long term incentive schemes (EBU)	66	127
TOTAL	733	831

4 directors (2005 3), including the highest paid director, exercised share options in the year and 3 directors (2005 nil), including the highest paid director, became entitled to receive shares under long term incentive schemes

Retirement benefits are accruing to 4 directors (2005 4), including the highest paid director under a defined benefit scheme, and 2 directors (2005 2), including the highest paid director, under a money purchase scheme

	£k	£k
DIRECTORS' EMOLUMENTS - HIGHEST PAID DIRECTOR		
Pre-tax emoluments, excluding pension contributions	410	456
Company pension contributions to money purchase schemes	7	8
Defined benefit pension scheme accrued pension at year end	61	74
Amounts (excluding shares) receivable under long term incentive schemes (EBU)	33	82

The above figures are based on a percentage split, according to time spent by each director in the Company which is determined by each director

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2006 £m	2005 £m
Amounts receivable from other ExxonMobil group undertakings	16.9	11.0
Other interest receivable	10.3	0.4
TOTAL	27.2	11.4

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2006

7 INTEREST PAYABLE AND SIMILAR CHARGES

	2006 £m	2005 £m
Amounts payable to other ExxonMobil group undertakings	27.4	28.4
Other interest payable	0.4	0.1
TOTAL	27.8	28.5

8 TAXATION ON PROFIT ON ORDINARY ACTIVITIES

	2006 £m	2005 £m
CURRENT TAX		
UK Corporation tax on profit for the period	66.1	99.5
Adjustments in respect of previous periods	1.7	(2.0)
TOTAL CURRENT TAX CHARGE FOR THE PERIOD	67.8	97.5
DEFERRED TAX		
Origination and reversal of timing differences	(7.6)	(6.5)
Pension contribution relief in excess of pension cost charge	27.7	24.3
TOTAL DEFERRED TAX CHARGE FOR THE PERIOD (note 16)	20.1	17.8
TAXATION ON PROFIT ON ORDINARY ACTIVITIES	87.9	115.3

Corporation Tax has been calculated at 30% on the taxable profit for the year (2005 30%). The tax assessed for the period is lower (2005 lower) than the standard rate of corporation tax in the UK (30%). The differences are explained below

	2006 £m	2005 £m
FACTORS AFFECTING TAX CHARGE FOR THE PERIOD		
Profit on ordinary activities before taxation	284.2	402.6
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 30% (2005 30%)	85.3	120.7
Effects of		
Expenses not deductible for tax purposes and other permanent differences	5.8	5.9
Accelerated capital allowances and other timing differences	8.5	0.7
Pension contribution relief in excess of net pension cost charge	(27.7)	(24.3)
Group relief received for nil consideration	(5.8)	(3.5)
Adjustments to tax charge in respect of previous periods	1.7	(2.0)
TOTAL CURRENT TAX CHARGE FOR THE PERIOD	67.8	97.5

Based on current capital investment plans the Company expects to continue to receive capital allowances in excess of depreciation in future years. No provision has been made for deferred taxation on gains arising from revaluing retail properties to their market value. Deferred taxation liabilities and assets are discounted.

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2006

9 INTANGIBLE ASSETS

COST	Goodwill £m
BALANCE AT 1 JANUARY AND 31 DECEMBER 2006	9.6
AMORTISATION	
Balance at 1 January 2006	4.8
Charge for year	0.6
BALANCE AT 31 DECEMBER 2006	5.4
NET BOOK VALUE AT 31 DECEMBER 2006	4.2
NET BOOK VALUE AT 31 DECEMBER 2005	4.8

10 TANGIBLE ASSETS

	Retail Sites	Other Land & Buildings	Plant & Equipment	Assets Under Construction	Total
	£m	£m	£m	£m	£m
COST OR VALUATION					
Balance at 1 January 2006	763.5	121.7	1,549.8	50.7	2,485.7
Additions	0.3	0.0	0.3	98.4	99.0
Disposals	(49.6)	(8.3)	(44.4)	(0.4)	(102.7)
Transfers	23.1	3.2	47.3	(73.6)	0.0
BALANCE AT 31 DECEMBER 2006	737.3	116.6	1,553.0	75.1	2,482.0
DEPRECIATION					
Balance at 1 January 2006	110.0	56.5	924.2	0.0	1,090.7
Charge for year	8.3	9.4	62.3	0.0	80.0
Disposals	(11.8)	(5.7)	(35.2)	0.0	(52.7)
BALANCE AT 31 DECEMBER 2006	106.5	60.2	951.3	0.0	1,118.0
NET BOOK VALUE AT 31 DECEMBER 2006	630.8	56.4	601.7	75.1	1,364.0
31 DECEMBER 2005	653.5	65.2	625.6	50.7	1,395.0

Included within Retail Sites are sites with a net book value of £23.6m (2005 £11.5m) which are being held for resale

As at 31 December 2004 certain assets with a historical cost of £314.9m were revalued by CB Richard Ellis Limited, an external surveyor and a member of the Royal Institute of Chartered Surveyors, on a total open market value basis for existing petrochemical use of £716.6m, resulting in an increase in the revalued amount of £215.7m. These assets comprise the Retail portfolio of petrol filling stations held on a freehold or long term leasehold basis (at least 50 years unexpired term on the lease) and have been valued as fully equipped operational trading entities.

During the year 63 sites (2005 65 sites) which had previously been revalued were sold resulting in £26.1m (2005 £19.6m) being transferred from the revaluation reserve. An additional £Nil (2005 £0.8m) was transferred from the revaluation reserve following a review of retail sites which were in the process of being sold at the balance sheet date and for which the carrying value exceeded their expected fair values.

There are no assets being held under finance leases which have been capitalised as fixed assets (2005 £nil).

Esso Petroleum Company, Limited
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10 TANGIBLE ASSETS (continued)

The net book value of Retail Sites and Other Land & Buildings comprises	2006 £m	2005 £m
Freehold	660.6	689.2
Long leasehold	6.4	7.5
Short leasehold	20.2	22.0
TOTAL	687.2	718.7
If Retail Sites and Other Land & Buildings had not been revalued they would have been included at the following amounts	2006 £m	2005 £m
Cost	498.7	503.9
Accumulated depreciation	(166.7)	(166.5)
Net book value	332.0	337.4

11 INVESTMENTS

Shares in subsidiary undertakings and investments	2006 £m	2005 £m
Balance at 1 January	9.7	9.7
BALANCE AT 31 DECEMBER	9.7	9.7

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2006 are given below

NAME OF COMPANY	Class of Shares	Proportion of Shares	Voting Rights
SUBSIDIARY UNDERTAKINGS			
Comma Oil & Chemicals Limited	Ordinary	100%	100%
ExxonMobil Pension Trust Limited	Ordinary	100%	100%
Mainline Pipelines Limited	Ordinary	65%	65%
Redline Oil Services Limited	Ordinary	100%	100%
Retail Petroleum Services Limited	Ordinary	100%	100%
ROC UK Limited	Ordinary	100%	100%
OTHER INVESTMENTS			
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Heathrow Hydrant Company Limited	Ordinary	20%	20%
Heathrow Hydrant Operating Company Limited	Ordinary	20%	20%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Stansted Fuelling Company Limited	Ordinary	29%	29%

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business

On 9 June 2006 Heathrow Refuelling Service Company Limited was dissolved

Esso Petroleum Company, Limited
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12 STOCKS

	2006 £m	2005 £m
Raw materials and consumables	117.3	132.0
Work in progress	46.4	63.0
Finished goods and goods for resale	261.5	230.4
TOTAL	425.2	425.4

The replacement cost of all categories of stocks held by the Company at 31 December 2006 was £431.3m (2005 £445.8m)

13 DEBTORS

	2006 £m	2005 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	381.0	446.5
Amounts owed by other ExxonMobil group undertakings	374.9	419.6
Amounts owed by subsidiary undertakings	37.3	29.8
Other debtors	56.5	30.1
Prepayments and accrued income	39.7	12.2
TOTAL	889.4	938.2

	2006 £m	2005 £m
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	8.5	7.2
Prepayments and accrued income	17.6	39.8
TOTAL	26.1	47.0

The Company participates in an interest bearing bank account pooling arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis. The net amount as at the balance sheet date of £129.0m (2005 £230.5m) is included in Amounts owed by other ExxonMobil group undertakings.

Amounts owed by other ExxonMobil group undertakings and falling due within one year include the following loans: one for £135m (2005 £Nil) that bears interest at a rate of 3 month LIBOR + 0.10% (2005 Nil), one for £1.0m (2005 £1.7m) that bears interest at a rate of 3 month LIBOR + 0.0625% (2005 3 month LIBOR + 0.0625%). All other balances are unsecured, interest free and have no fixed repayment date.

The comparative figures for "Amounts falling due after more than one year" have been amended. £3.0m has been reclassified from "Other debtors" into "Prepayments and accrued income". This is to ensure consistency of classification with the current year.

Esso Petroleum Company, Limited
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14 CREDITORS

	2006 £m	2005 £m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	0 0	1 9
Trade creditors	45 7	23 3
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	165 0	400 0
Amounts owed to other ExxonMobil group undertakings - other	206 0	224 6
Amounts owed to subsidiary undertakings	0 2	0 4
Taxation and social security	359 0	363 9
Other creditors	12 8	9 8
Accruals and deferred income	180 6	216 6
Redeemable ordinary shares (note 17)	0 0	345 0
TOTAL	969.3	1,585.5
	2006 £m	2005 £m
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	300 0	300 0
Accruals and deferred income	21 5	19 7
TOTAL	321.5	319.7

Amounts owed to other ExxonMobil group undertakings - other and subsidiary undertakings are unsecured, interest free and have no fixed repayment date

£300 0m relating to "Amounts owing to other ExxonMobil group undertakings - loans" has been reclassified from "Amounts falling due within one year" to "Amounts falling due after one year" and the prior year comparatives have been re-presented accordingly See note 15

After a change to the articles of association, in which the terms of the redeemable ordinary shares were altered to remove the rights of the holder to redeem them on demand at any time for the original consideration, the company has reclassified the 345,000,000 redeemable ordinary shares to equity share capital

15 LOANS

	2006 £m	2005 £m
Amounts owed to other ExxonMobil group undertakings		
Repayable within 1 year	165 0	400 0
Repayable after 5 years	300 0	300 0
TOTAL	465.0	700.0

Amounts repayable within one year comprise one loan for £165 0m (2005 £200 0m) that bears interest at a rate of LIBOR + 0.35% (2005 LIBOR + 0.55%) with a maturity date January 2009. This is considered to be short term under FRS25 as the lender has the right to recall the loan at short notice. One loan for £200 0m was repaid during the year.

Amounts repayable after one year comprise one loan for £300 0m (2005 £300 0m), that bears interest at a rate of LIBOR + 0.0625% (2005 LIBOR + 0.0625%) with a maturity date of December 2033.

Following a review of loan agreements, it has been determined that the terms of one agreement are long term as the lender does not have the right to recall the loan at short notice, and prior year comparatives have been re-presented accordingly. £300 0m has been reclassified from "Repayable within 1 year" to "Repayable after 5 years".

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
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16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred Taxation £m	Other £m	Total £m
Balance at 1 January 2006	94.5	16.3	110.8
Utilised during the year	0.0	(2.3)	(2.3)
Credit to the profit and loss account	(7.6)	(7.7)	(15.3)
BALANCE AT 31 DECEMBER 2006	86.9	6.3	93.2

	2006 £m	2005 £m
PROVISION FOR DEFERRED TAX		
Capital allowances in excess of depreciation	86.9	97.3
Other timing differences	0.0	(2.8)
DEFERRED TAXATION EXCLUDING RELATED TO THE PENSION LIABILITY	86.9	94.5
Deferred taxation related to the pension liability (note 20)	(240.9)	(257.8)
TOTAL ASSET FOR DEFERRED TAXATION	(154.0)	(163.3)

Deferred tax balance at 1 January 2006	(163.3)
Deferred taxation charge in the profit and loss account (note 8)	20.1
Deferred taxation credit in the statement of total recognised gains and losses	(10.8)
DEFERRED TAXATION ASSET AT 31 DECEMBER 2006	(154.0)

Other provisions relate to (i) a provision of £4.5m (2005 £5.0m) for the restructuring of UK operations, and (ii) a provision of £1.8m (2005 £3.3m) for the cost of closure and remediation of sites closed prior to 31 December 2006 which are expected to be incurred within the next five years

The provision for deferred tax is discounted as permitted by FRS 19. Discount rates used are the post-tax yields to maturity on government bonds with maturity dates similar to those of the deferred tax assets/liabilities. The average discount rate used is 3.29% (2005 3.02%).

The deferred tax provision before discounting is £104.8m (2005 £118.1m). No provision has been made for deferred tax on gains recognised in revaluing property to its market value.

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17 CALLED UP SHARE CAPITAL

	2006 £m	2005 £m
Authorised		
229,000,000 ordinary shares of £1 each	229 0	229 0
500,000,000 redeemable ordinary shares of £1 each	500 0	500 0
TOTAL	<u>729.0</u>	<u>729.0</u>
Allotted and fully paid		
228,385,200 ordinary shares of £1 each	228 4	228 4
345,000,000 redeemable ordinary shares of £1 each (note 14)	345 0	0 0
TOTAL	<u>573.4</u>	<u>228.4</u>

There was no issue or redemption of shares during the year (2005 none)

The 345,000 redeemable ordinary shares have a nominal value of £1 each and no share premium. During 2006 the articles of association were changed to enable the company but not the holders of such shares to redeem them on demand at any time for the original consideration, the company has reclassified the 345,000,000 redeemable ordinary shares from creditors.

In all other respects the shares rank pari passu with the ordinary shares of the Company as regards to priority and amounts receivable on a winding up, the payment of dividends and voting rights. There has been no other change or modification to the rights attached to the shares in the year.

18 RESERVES

	2006 £m	2005 £m
REVALUATION RESERVE		
Balance at 1 January	381 3	401 7
Revaluation during the year	0 0	(0 8)
Realisation of property revaluation gains of prior years (note 10)	(26 1)	(19 6)
BALANCE AT 31 DECEMBER	<u>355.2</u>	<u>381.3</u>
CAPITAL RESERVE		
Balance at 1 January	3 3	3 3
BALANCE AT 31 DECEMBER	<u>3.3</u>	<u>3.3</u>
PROFIT AND LOSS RESERVE		
Balance at 1 January as previously stated	(231 6)	122 3
Prior period adjustment - FRS 17	0 0	(615 2)
Balance at 1 January (as restated for 2005)	(231 6)	(492 9)
Profit for the financial year	196 3	287 3
Actuarial loss on pension plan (note 20)	(36 0)	(65 1)
Movement on deferred taxation related to pension plan	10 8	19 5
Realisation of property revaluation gains in previous years (note 10)	26 1	19 6
BALANCE AT 31 DECEMBER	<u>(34.4)</u>	<u>(231.6)</u>

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
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19 RECONCILIATION OF MOVEMENT IN SHAREHOLDER'S FUNDS

	2006 £m	2005 £m
Profit for the financial year	196 3	287 3
Redeemable ordinary shares transferred from creditors (note 14)	345 0	0 0
Revaluation during the year (note 10)	0 0	(0 8)
Actuarial loss on pension plan (note 20)	(36 0)	(65 1)
Movement on deferred taxation related to pension plan	10 8	19 5
Net addition to shareholder's funds	<u>516 1</u>	<u>240 9</u>
Opening shareholder's funds as previously reported	381 4	1,100 7
Prior year adjustment - FRS 17	0 0	(615 2)
Prior year adjustment - FRS 25	0 0	(345 0)
Opening shareholder's funds as restated	<u>381 4</u>	<u>140 5</u>
CLOSING SHAREHOLDER'S FUNDS	<u>897.5</u>	<u>381.4</u>

20 PENSIONS

The Company is the major member of a funded defined benefit pension scheme in the UK. The Actuaries, are independent of the Company and their latest full actuarial valuation was carried out in 2005 on plan assets and liabilities as at 31 December 2004. This has been updated to 31 December 2006 using the assumptions described below.

Employer contributions to the fund were £64.0m (2005: £296.6m). Normal contributions were reduced to 18.6% of pensionable salaries with effect from January 2006, following the results of the valuation and a one-off employer's contribution of £235.0m during 2005.

The major assumptions used were:	2006	2005	2004
Rate of increase in salaries	4.50%	4.10%	4.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	2.10%	2.00%	2.00%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97 to post March 06)	3.00%	2.80%	2.75%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 06)	2.50%		
Discount rate	5.10%	4.80%	5.30%
Inflation assumption	3.00%	2.80%	2.75%
Expected long term rate of return at 31 December:	2006	2005	2004
Equities	8.50%	8.40%	8.50%
Property	7.50%	7.40%	
Bonds	4.90%	4.35%	4.82%
Cash & Other	0.00%	0.00%	0.00%

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20 PENSIONS (continued)

	Value at 31 December		
	2006	2005	2004
	£m	£m	£m
The assets in the plan were:			
Equities	1,557.8	1,468.9	1,158.0
Property	117.2	76.1	0.0
Bonds	537.1	477.7	377.9
Cash & Other	(5.5)	13.7	2.7
TOTAL	2,206.6	2,036.4	1,538.6
Balance sheet liability as at 31 December:			
Total market value of plan assets	2,206.6	2,036.4	
Present value of plan liabilities	(2,892.1)	(2,719.5)	
Deficit in the plan	(685.5)	(683.1)	
Related deferred tax asset	240.9	257.8	
Net pension liability	(444.6)	(425.3)	
Analysis of the amounts charged to operating profit:			
Current service cost	(45.1)	(38.2)	
Past service cost	(4.1)	(3.5)	
Total operating charge	(49.2)	(41.7)	
Analysis of the amount charged to other finance income/charges:			
Expected return on pension plan assets	146.6	113.9	
Interest on pension plan liabilities	(127.8)	(124.4)	
Net income / (charge)	18.8	(10.5)	
Analysis of the amounts recognised in the statement of total recognised gains and losses:			
Actual return in excess of expected return on plan assets	79.2	195.3	
Experience (loss) / gain arising on pension plan liabilities	(140.2)	12.8	
Change in assumptions underlying the present value of the plan liabilities	25.0	(273.2)	
Actuarial loss recognised in statement of total recognised gains and losses	(36.0)	(65.1)	

Esso Petroleum Company, Limited
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20 PENSIONS (continued)

History of experience gains and (losses) for the year ended 31 December

	2006	2005	2004	2003	2002
Difference between expected and actual return on plan assets:					
Amount - £m	79.2	195.3	54.9	130.1	(309.5)
Percentage of plan assets	3.6%	9.6%	3.6%	9.2%	(25.3%)
Experience gains and (losses) on plan liabilities.					
Amount - £m	(140.2)	12.8	(74.0)	(10.5)	(75.8)
Percentage of the present value of plan liabilities	4.8%	(0.5%)	3.1%	0.5%	4.1%
Total amount to be recognised in statement of total recognised gains and losses:					
Amount - £m	(36.0)	(65.1)	(96.7)	(150.4)	(613.6)
Percentage of the present value of plan liabilities	1.2%	2.4%	4.0%	6.9%	33.0%

	2006 £m	2005 £m
Analysis of the movement in the plan deficit during the year:		
Deficit in the plan at the beginning of the year	(683.1)	(862.4)
Contributions paid	64.0	296.6
Current service cost	(45.1)	(38.2)
Past service cost	(4.1)	(3.5)
Other finance income/(charges)	18.8	(10.5)
Actuarial loss	(36.0)	(65.1)
Deficit in the plan at the end of the year	(685.5)	(683.1)

The above actuarial valuation at 31 December 2006 showed an increase in the deficit before tax from £683.1m to £685.5m. This is due to salary growth and inflation factors offset by the movement in the discount rate assumed. Employer contributions were set at 18.6% of pensionable salaries with effect from 1 January 2006, following the triennial actuarial valuation effective 31 December 2004 and subsequent special contribution of £235.0m made in 2005. This contribution level is subject to actuarial review.

21 CAPITAL COMMITMENTS

	2006 £m	2005 £m
Commitments under contracts for capital expenditure not provided for in these financial statements amount to	8.5	12.1

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22 COMMITMENTS UNDER OPERATING LEASES

	2006	2005
	Land & Buildings £m	Land & Buildings £m
At 31 December the Company had annual commitments under non cancellable operating leases expiring as follows		
- within one year	4.3	3.2
- within two to five years	0.4	3.5
- after five years	7.9	6.2
TOTAL	12.6	12.9

23 CONTINGENT LIABILITIES

The Company has given guarantees in respect of the house sale guarantee scheme for relocating 28 employees (2005 10). This involves guaranteeing the sale of the property at market value for employees who are relocating. There is no material difference between the guaranteed minimum and the current market value of these properties (2005 £nil).

24 RELATED PARTY BALANCES

The Company is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3(c) of FRS 8 'Related party disclosures' not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25.

At 31 December 2006 the Company had made advance payments to landlords on behalf of 2 directors (2005 2) TG Katinas £32,650 (2005 £32,650) and RC Olsen £7,400 (2005 £9,300). These advance rental payments are part of the employee relocation scheme.

25 ULTIMATE HOLDING COMPANY

The immediate holding company is ExxonMobil UK Limited. The ultimate holding company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited. Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.

26 POST BALANCE SHEET EVENTS

The rate of UK Corporation Tax is to be reduced from 30% to 28% with effect from 1 April 2008. In accordance with UK GAAP provisions, the rate of 30% is still used as a basis for the calculation of the deferred tax stated.

By applying the new UK corporate tax rate, the total asset for deferred taxation would decrease by £10.3m.
